

Q1. Hedge funds are most likely characterized by:

- A. significant investment restrictions.
- B. a high correlation of returns with investment-grade bonds.
- C. performance relative to a traditional portfolio that may be hard to gauge.

Q2. The price of a forward contract most likely:

- A. decreases as the price of the underlying goes up.
- B. is constant and set as part of the contract specifications.
- C. increases as market risk increases.

Q3. Which of the following is most likely a distinction between futures and forward contracts? Futures contracts are:

- A. easily customized.
- B. traded on an exchange.
- C. more attractive than forwards for long positions when futures prices are negatively correlated to interest rates.

Q4. Which of the following yield curves is a sequence of breakeven reinvestment rates?

- A. Par curve
- B. Spot curve
- C. Forward curve

Q5. The sensitivity of a 30-year fixed-rate bond to a 50 basis points increase in the benchmark rate at the 25-30 years maturity segment is best measured by:

- A. key rate duration.
- B. effective duration.
- C. modified duration.

Q6. In using matrix pricing to estimate the required yield spread on a new corporate bond issue, the benchmark rate used is most likely to be the:

- A. coupon rate on a government bond with a similar time to maturity.
- B. yield to maturity on a government bond with a similar time to maturity.
- C. yield to maturity on a corporate bond with similar credit risk and time to maturity.

Q7. Which type of preference shares can be exchanged into a predetermined number of common shares?

- A. Convertible preference shares
- B. Cumulative preference shares
- C. Participating preference shares

Q8. Privately held convertible debt is most likely used by companies in which of the following life cycle stages?

- A. Seed
- B. Growth
- C. Maturity

Q9. Which of the following industries would most likely be included in the 'mature and cyclical' quadrant of an industry growth style box?

- A. Semiconductors
- B. Pharmaceuticals
- C. Freight transportation

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A portfolio consists of the following two assets:

Asset	Asset Weight	Asset Standard Deviation
1	35%	50%
2	65%	15%

Q10. If the covariance between the two assets is 0.04, the portfolio variance is closest to:

- A. 0.04.
- B. 0.06.
- C. 0.12.

Q11. Pooled investment vehicles that frequently trade at a significant discount to net asset value are most likely:

- A. closed-end funds.
- B. open-ended funds.
- C. exchange-traded funds.

Q12. In an equally weighted portfolio, the diversification ratio is best described as a measure of the:

- A. relative level of risk between any two individual assets.
- B. amount of risk an asset contributes to the portfolio's risk.
- C. risk reduction benefit of investing in the portfolio versus a security from the portfolio.

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Q. Consider the following set of valuation multiples for three firms among seven in a particular industry sector:

Company	P/E	P/CF	P/S	P/BV
A	17.0	8.2	3.1	1.2
B	12.7	5.4	2.4	0.8
C	14.4	6.5	3.4	1.4
Industry average	15.8	7.4	2.6	1.1

Q13. Based solely on the P/E and P/CF ratios, which company appears overvalued?

- A. Company A
- B. Company B
- C. Company C

Q14. The variance of returns of a security and the market portfolio are 0.25 and 0.09, respectively. If the covariance of security returns and market returns is 0.06, the security's beta is closest to:

- A. 0.24.
- B. 0.40.
- C. 0.67.

Q15. Which of the following is an assumption of the CAPM?

- A. Markets have zero transaction costs.
- B. Investors plan for multiple holding periods.
- C. Large investors can influence security prices.

Q16. Short sellers most likely:

- A. pay a short rebate to security lenders.
- B. receive cash collateral from security lenders.
- C. make payments-in-lieu of dividends to security lenders.

Q17. With regard to their investment in pension plans, employees with defined contribution plans accept:

- A. inflation risk only.
- B. investment risk only.
- C. both inflation and investment risks.

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An analyst gathers the following information to evaluate the effect of dividends and leverage on future growth:

	Scenario 1	Scenario 2
Dividend payout ratio	60%	40%
Financial leverage	3.0	2.5

Q18. If return on assets is the same for each scenario, the sustainable growth rate is:

- A. higher under Scenario 1.
- B. higher under Scenario 2.
- C. the same under both Scenario 1 and Scenario 2.

Q19. An investor values a company based on the dividend discount model. All else being equal, the estimated intrinsic value of the stock for a one-year holding period is most likely:

- A. lower than the estimated intrinsic value of the stock for a five-year holding period.
- B. equal to the estimated intrinsic value of the stock for a five-year holding period.
- C. higher than the estimated intrinsic value of the stock for a five-year holding period.

Q20. A credit issuer rating assigned by a rating agency is based on:

- A. the notching adjustment of a specific bond of the issuer.
- B. the ranking of a specific bond in the issuer's capital structure.
- C. the issuer's ability and willingness to service its senior unsecured debt.

Q21. A net investment hedge occurs when a derivative is used to:

- A. offset the fluctuation in the fair value of an asset or liability.
- B. absorb the variable cash flow of a floating rate asset or liability.
- C. offset the exchange rate risk of the equity of a foreign operation.

Q22. The value effect anomaly:

- A. contradicts semi-strong market efficiency.

- B. was identified using time series of data only.
- C. states that growth stocks have consistently outperformed value stocks.

Q23. A company's series B, 8% preferred stock has the following features:

- A par value of \$50, and it pays quarterly dividends.
- Its current market value is \$35.
- The shares are retractable (at par) with the retraction date set for three years from today.
- Similarly rated preferred issues have an estimated nominal required rate of return of 12%.
- Analysts expect a sustainable growth rate of 4% for the company's earnings.

The intrinsic value estimate of a share of this preferred issue is closest to:

- A. \$33.33.
- B. \$45.02.
- C. \$52.00.

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The following information relates to a leveraged investment:

Purchase price	\$100/share
Sales price	\$110/share
Shares purchased and subsequently sold	10,000
Leverage ratio	2.5
Call money rate, per annum	5%
Dividends received	\$5/share
Holding period	1 year

Q24. The return on investment is closest to:

- A. 18%.
- B. 25%.
- C. 30%.

Q25. Which of the following is least likely to be an example of a derivative?

- A. An exchange-traded fund
- B. A contract to sell Alphabet Inc.'s shares at a fixed price
- C. A contract to buy Australian dollars at a predetermined exchange rate

Q26. Accounting standards and reporting requirements that produce meaningful and timely financial disclosures are most critical for achieving which of the following efficiencies associated with a well-functioning financial system?

- A. Allocational
- B. Informational
- C. Operational

Q27. Which of the following is least likely a primary reason a company would raise capital through the issuance of equity securities?

- A. Maximize the wealth of shareholders
- B. Directly satisfy stock compensation plans
- C. Finance the purchase of long-lived assets

Q28. Mass redemptions may force the sale of underlying real estate by managers of:

- A. open-end funds only.
- B. publicly traded REITs only.
- C. both open-end funds and publicly traded REITs.

Q29. The bonds of Apex Corporations have a par value of \$10,000 each and an annual required rate of return of 10%.

The bonds make quarterly coupon payments at an annual rate of 6% and have two years remaining until maturity. The current market price of each bond is closest to:

- A. \$9,283.
- B. \$9,306.
- C. \$10,749.

Q30. Which of the following is most likely an example of a Eurobond?

- A. A Japanese borrower issuing US dollar-denominated bonds in the US market.
- B. A Canadian borrower issuing British pound-denominated bonds in the UK market.
- C. An Australian borrower issuing Canadian dollar-denominated bonds in the UK market.

Q31. For a bond investment, loss severity is:

- A. independent of the recovery rate.
- B. used in the calculation of the expected loss.
- C. the primary focus when assessing the creditworthiness of high-quality issuers.

Q32. For a call option, if the underlying asset's value is less than the option's exercise price, the option is said to be:

- A. at the money.
- B. out of the money.
- C. in the money.

Q33. For European options, all else being equal, a higher exercise price results in a higher value for:

- A. puts only.
- B. calls only.
- C. both puts and calls.

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Consider the following information for a fixed-rate bond:

Yield to maturity	6.57%
Annual coupon rate (paid semiannually)	9.00%
Market value	\$11,189,092
Annualized modified duration	4.687985

Q34. If the bond's yield to maturity increases to 7.25%, the bond's estimated market value will be closest to:

- A. \$9,746,599.
- B. \$10,271,142.
- C. \$10,832,403.

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Initial investment capital	\$100 million
Return at the end of one year	12%
Management fee based on assets under management	1%
Incentive fee based on the return net of the management fee	10%

Q35. Assume management fees are calculated using end-of-period valuation. The investor's net return given this fee structure is closest to:

- A. 9.68%.
- B. 9.79%.
- C. 10.88%.

Q36. Under US GAAP, an investment valued using reliable outside broker quotes is most appropriately categorized as a:

- A. Level 1 asset.
- B. Level 2 asset.
- C. Level 3 asset.

Q37. One source of return for an investor in a fixed-rate corporate bond is most likely the:

- A. bid-ask spread.
- B. interest on the collateral.
- C. reinvestment of coupon payments.

Q38. Which of the following performance measures is only relevant for well-diversified portfolios?

- A. Sharpe ratio
- B. Jensen's alpha
- C. M-squared (M3)

Q39. Which of the following behavioral biases most likely helps explain the momentum market anomaly?

- A. Status quo bias
- B. Availability bias
- C. Anchoring and adjustment bias

Q40. A good risk management framework:

- A. is a top-down process and guidance directing risk management activities.
- B. seeks to prioritize avoidance of financial loss over defining policies and processes.
- C. is typically a process that addresses a common set of factors within different organizations.

Q41. For a coupon bond with a positive yield, compounding more frequently within the year results in a yield-to-maturity that is:

- A. less positive.
- B. the same.
- C. more positive.

Q42. Which of the following ESG investment approaches best describes positive screening?

- A. Systematic consideration of material ESG factors in asset allocation
- B. Inclusion of sectors or companies in the portfolio based on specific ESG criteria
- C. Investments made with the intention to generate positive, measurable social and environmental impact

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A market index has the following information:

Period	Quarterly Price Returns (%)	Dividend Income (%)	Value of Index
At the beginning of the year	---	---	1,000.00 (Base)
Quarter 1	3.0%	1.5%	---
Quarter 2	2.0%	---	---
Quarter 3	-5.0%	---	---

Q43. By the end of Quarter 3, which of the following statements is most accurate?

- A. The price return is 1.26%.
- B. The value of the price return index is 998.1.
- C. The value of the total return index is below 1,000.

Q44. An asset-backed securitization with a waterfall structure is most likely structured with which type of credit enhancement?

- A. Subordination
- B. Time tranching
- C. Special-purpose entity (SPE)

Q45. If a bank wants the ability to retire debt prior to maturity in order to take advantage of lower borrowing rates, it most likely issues a:

- A. putable bond.
- B. callable bond.
- C. convertible bond.

Q46. Which of the following best describes a clawback provision? A provision that:

- A. protects clients from paying twice for the same performance.

- B. reflects the right of limited partners to reclaim part of the general partner's performance fee.
- C. represents the minimum rate of return that must be exceeded in order to earn a performance fee.

Q47. Which of the following is categorized as a social infrastructure asset?

- A. Airport
- B. Correctional facility
- C. Telecommunication tower

Q48. Which of the following is best classified as non-financial risk?

- A. Credit risk
- B. Market risk
- C. Solvency risk

Q49. With respect to margin, the leverage ratio:

- A. is the value of the equity investment divided by the value of the position.
- B. is the minimum fraction of the purchase price that must be trader's equity.
- C. indicates how many times larger a position is than the equity that supports its

Q50. An investment-grade bond index is typically further subdivided by:

- A. maturity only.
- B. credit rating only.
- C. both maturity and credit rating.

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An analyst gathers the following information about a hedge fund's first year of operations:

Beginning-of-year assets under management	\$100,000,000
Management fee based on end-of-year assets under management	2%
Incentive fee, calculated net of the management fee	20%
Annual gross return	15%
Soft hurdle rate	5%

Q51. The total fees (in \$ millions) earned by the hedge fund in Year 1 are:

- A. 3.84.
- B. 4.30.
- C. 4.84.

Q52. If a bond has a modified duration of 6.2 and convexity of 42.8, the percentage change in price for a 50 basis point increase in yield is closest to:

- A. -3.15%.
- B. -3.05%.
- C. -1.44%.

Q53. The capital market line is best described as pricing:

- A. total risk.
- B. only systematic risk.
- C. only nonsystematic risk.

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An investor gathers the following information about a company:

Current dividend per share	\$3
Historical annual dividend growth rate	4%
Expected annual dividend growth rate for the next three years	8%
Expected stock value per share at the end of Year 3	\$33

Q54. If the investors' required rate of return is 15%, the current estimate of the intrinsic value per share is closest to:

- A. \$28.36.
- B. \$29.08.
- C. \$29.65.

Q55. Investors with limited resources and experience enter into alternative investments most likely through:

- A. co-investing.
- B. fund investing.
- C. direct investing.

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An investor sells a European put option with the following characteristics:

Put price	15
Exercise price	250

Q56. If the price of the underlying at expiration is 260, the profit for the seller is:

- A. 5
- B. 10
- C. 15

Q57. A buyer's profit from an in-the-money put option is best described as the:

- A. value of the option at expiration minus the option premium.
- B. spot price of the underlying minus the exercise price of the option.
- C. strike price of the option minus the value of the underlying at expiration.

Q58. The acquisition of a public company with the intent to take it private using debt financing best describes:

- A. angel investing.
- B. venture capital investing.
- C. leveraged buyout investing.

Q59. An advantage of using price multiples in valuation is most likely that multiples:

- A. allow easy cross-sectional comparisons.
- B. are not affected by differences in accounting rules.

- C. for cyclical companies are relatively stable over the economic cycle.

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An analyst gathers the following credit measures for two companies and their industry:

Credit Ratio	Company 1	Company 2	Industry
Operating profit margin	13.7%	12.1%	11.8%
Debt/EBITDA	1.21x	2.89x	3.00x
EBITDA/interest expense	15.6x	6.9x	6.9x

Q60. Using these ratios, credit quality is strongest for:

- A. Company 1.
- B. Company 2.
- C. the industry.

Q61. A swap is most likely similar to a series of forward contracts when:

- A. all forward contracts are created with the combined value equal to zero.
- B. all forward contracts are entered into at the price created in the forward market.
- C. the value of the long forward contracts are matched with the value of the short forward contracts at each swap payment date.

Q62. In a binomial option pricing model, the expected payoff is based on:

- A. estimated probabilities and discounted at the risk-free rate.
- B. risk-neutral probabilities and discounted at the risk-free rate.
- C. risk-neutral probabilities and discounted at the risk-free rate plus a risk premium.

Q63. What is the most likely reason why arbitrage will not completely eliminate all pricing discrepancies for derivatives?

- A. Transaction costs
- B. Inaccurate forecasts
- C. Differences in risk aversion

Q64. Which form of market efficiency is most likely tested using technical analysis?

- A. Weak form
- B. Semi-strong form
- C. Strong form

Q65. A factor that most likely measures a client's ability to bear risk is his or her:

- A. time horizon.
- B. personality type.
- C. inclination to independent thinking.

Q66. A callable bond most likely experiences negative convexity when the bond's yield to maturity is:

- A. less than the bond's coupon rate.
- B. equal to the bond's coupon rate.
- C. greater than the bond's coupon rate.

Q67. The sum of the coupon payments over a year divided by the flat price of a bond is best defined as:

- A. true yield.
- B. simple yield.
- C. current yield.

Q68. In a rising interest rate environment, the effective duration of a puttable bond relative to an otherwise identical non-puttable bond, will most likely be:

- A. lower.
- B. the same.
- C. higher.

Q69. A bond issued by a province is most likely classified as a:

- A. supranational bond.
- B. quasi-government bond.
- C. non-sovereign government bond.

Q70. An investor owns a stock trading at \$22 per share and would like to place an order to sell the position should the stock ever trade at or below \$20 per share. The order most likely is:

- A. limit 20 sell.

- B. stop 20, market sell.
- C. stop 20, limit 20 sell.

Q71. In relation to asset allocation, which of the following is a desirable property when specifying asset classes?

- A. Asset classes should be mutually exclusive.
- B. An asset class should contain heterogeneous assets.
- C. Each asset class should be composed of assets with low paired correlations.

Q72. Based on put-call parity, a fiduciary call can be created by combining:

- A. a long call and a long risk-free zero-coupon bond.
- B. a short put and a long risk-free zero-coupon bond.
- C. a long call and a short risk-free zero-coupon bond.

Q73. All else being equal, commodity forward prices will increase as a result of a decrease in the:

- A. risk-free rate.
- B. storage costs.
- C. convenience yield.

Q74. As an investor assumes additional risk along the Markowitz efficient frontier, the rate at which expected return increases will most likely:

- A. decrease.
- B. remain constant.
- C. increase.

Q75. Which of the following sections of an IPS most likely provides information about specific types of assets to be excluded from a portfolio?

- A. Procedures
- B. Investment Guidelines
- C. Statement of Duties and Responsibilities

Q76. Indifference curves are plotted on a graph, with returns on the vertical axis and risk on the horizontal axis. For a risk-averse investor, the slope of the indifference curve is most likely:

- A. negative.
- B. zero.
- C. positive.

Q77. Which of the following most likely facilitates market efficiency?

- A. The presence of arbitrageurs only
- B. The reduction of the number of market participants only
- C. Both the presence of arbitrageurs and the reduction of the number of market participants

Q78. The correlation of cryptocurrencies with traditional assets has been:

- A. decreasing.
- B. steady.
- C. increasing.

Q79. The weighted average of the time to receipt of a bond's promised future payments is best measured by:

- A. effective duration.
- B. modified duration.
- C. Macaulay duration.

Q80. The first decision when constructing a security market index is most likely:

- A. identifying the target market.
- B. identifying the investment universe.
- C. determining the constituent securities.

Q81. Which of the following statements is most accurate? Smart beta strategies:

- A. invest in high market beta stocks to generate an abnormal return.
- B. use simple rules-based strategies as a basis for investment decisions.
- C. typically have lower portfolio turnover than passive market-cap weighted strategies.

Q82. According to put-call parity, a long position in an underlying is equivalent to a long risk-free bond combined with a:

- A. long call and a long put with the same strike.
- B. long call and a short put with the same strike.
- C. short call and a long put with the same strike.

Q83. A mortgage pass-through security most likely has:

- A. stable cash flows.
- B. an uncertain average life.

C. greater cash flows than the underlying pool of mortgages.

Q84. A stock dividend:

- A. is relevant for valuation of a company.
- B. involves an increase in the number of shares outstanding.
- C. alters the shareholders' proportional ownership in the company.

Q85. Compared to the deal-by-deal waterfall distribution method in alternative investments, the whole-of-fund method is:

- A. less advantageous to general partners than to limited partners.
- B. equally advantageous to general partners and to limited partners.
- C. more advantageous to general partners than to limited partners.

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An analyst gathers the following information about three assets:

	Asset 1	Asset 2	Asset 3
Systematic risk	0.10	0.30	0.25
Nonsystematic risk	0.25	0.10	0.20
Total risk	0.35	0.40	0.45

Q86. According to capital market theory, which asset should have the highest expected return?

- A. Asset 1
- B. Asset 2
- C. Asset 3

Q87. A stock is currently trading at €25.00 and the risk-free rate is 1.75% per annum. The minimum price of a 9-month European call option on the stock with an exercise price of €22.50 is closest to:

- A. €2.21.
- B. €2.50.
- C. €2.79.

Q88. Duration is most accurate as a measure of interest rate risk for a bond portfolio when the slope of the yield curve:

- A. decreases.
- B. stays the same.

C. increases.

Q89. The motivation for investing in the mezzanine tranche of a collateralized debt obligation (CDO) is most likely to:

- A. benefit from the credit protection provided by the senior tranche.
- B. earn a higher yield than that on a comparably rated corporate bond.
- C. receive a return in excess of what is paid out to all other bond classes.

Q90. Which of the following is most likely forecast by using historical depreciation and amortization expenses?

- A. Growth capital expenditures
- B. Future debt and equity levels
- C. Maintenance capital expenditures